

STATE OF MINNESOTA
COUNTY OF HENNEPIN

DISTRICT COURT
FOURTH JUDICIAL DISTRICT
Case Type: Contract

Yibiao Lu and Jie Hu,
Plaintiffs,

Court File No.: 27-CV-26-11606

Judge: Jamie Anderson

vs.

Fire Insurance Exchange, by and through
its attorney-in-fact, Fire Underwriters
Association (d/b/a Farmers Insurance),

Defendant.

**DEFENDANT'S
ANSWER**

Defendant, Fire Insurance Exchange ("FIE") as and for its Answer to Plaintiffs' Complaint,
states and alleges:

1. This is an action for breach of an insurance contract; for declaratory judgment construing that contract under Minn. Stat. ch. 555; for a declaration that the September 12, 2025 appraisal award entered under Minn. Stat. § 65A.01 -not being itemized as that statute requires -does not preclude Plaintiffs' contract claim as to any window or item the award did not itemize, or in the alternative to modify, correct, clarify, or vacate that award; and for damages and statutory remedies under the Minnesota Consumer Fraud Act, Minn. Stat. § 325F.69, enforced through Minn. Stat. § 325F.70, subd. 3 and Minn. Stat. § 8.31, Subd. 3a.

ANSWER: FIE is without sufficient information or knowledge to form an opinion on the truth of paragraph 1. This paragraph is introductory in nature and does not require a response. Plaintiffs' Complaint speaks for itself.

2. Plaintiffs Yibiao Lu and Jie Hu are Minnesota homeowners whose insured residence was damaged by hail on July 13, 2024. The residence is insured under homeowner's Policy XXXXX-49-65, issued by Defendant Fire Insurance Exchange and in continuous force since October 22, 2014. Defendant has denied coverage twice on incompatible factual theories, has refused to consider repeated rounds of disproving evidence, has maintained a supervisor-level "engineer's report only" gatekeeping rule found nowhere in the policy, and has paid Plaintiffs nothing for the loss notwithstanding a binding appraisal award entered on September 12, 2025 confirming hail as the cause of loss to windows of the home.

ANSWER: FIE admits that it issued a Next Generation Homeowners Policy, ending in 49-65, to Plaintiff Yibiao Lu effective 10/22/2023 through 10/22/2024. FIE denies that Plaintiffs' residence was damaged by hail on July 13, 2024. FIE admits that a binding appraisal award was entered on September 12, 2025 ("Appraisal Award"), which identified hail as the cause of loss for two damaged windows. The binding Appraisal Award estimated the replacement cost value of claimed damages to be \$12,800.00 and the actual cash value to be \$6,400.00. Because the amount of the loss did not exceed the amount of the deductible of \$17,720.00, no payment was due under the terms of the Policy. FIE is without sufficient information to admit or deny the remainder of Paragraph 2.

3. Plaintiffs seek monetary damages, declaratory relief, a declaration that the September 12, 2025 appraisal award is non-preclusive as to the scope it did not itemize (or, in the alternative, modification, correction, clarification, or vacatur of that award), prejudgment and postjudgment interest, statutory costs of investigation and attorney fees under Minn. Stat. § 325F.70, subd. 3 and § 8.31, Subd. 3a, and such further relief as the Court deems appropriate. Plaintiffs reserve the right to seek statutory taxable costs under Minn. Stat. § 604.18 by post-pleading motion under Minn. Stat. § 604.18; Subd. 4(a).

ANSWER: This paragraph alleges statements and conclusions of law which require no response in this Answer. Plaintiffs' Complaint speaks for itself.

II. PARTIES

4. Plaintiff Yibiao Lu is an individual residing at 17756 George Moran Dr., Eden Prairie, Hennepin County, Minnesota 55347, and is the named insured under Policy XXXXX-49-65. Plaintiff Jie Hu is the spouse of Yibiao Lu and a resident of the same household, and is an insured under the policy, which defines "you" and "your" to mean the named insured shown in the Declarations and the named insured's spouse if a resident of the same household. The policy classifies the property as "Owner Occupied (Primary Residence)."

ANSWER: FIE admits that Plaintiff Yibiao Lu is an individual residing at 17756 George Moran Dr., Eden Prairie; admits that Yibiao Lu is the named insured under the Policy ending in 49-65; and admits that the policy classifies the property as "Owner Occupied (Primary Residence)."

5. Defendant Fire Insurance Exchange ("Defendant" or "Farmers") is a reciprocal insurance exchange organized under California law and authorized to transact insurance business in Minnesota, acting by and through its attorney-in-fact, Fire Underwriters Association. Defendant operates in Minnesota under the trade name Farmers Insurance and is licensed by the Minnesota Department of Commerce. Defendant maintains a registered agent .for service of process in Minnesota.

ANSWER: Admit that Defendant is a reciprocal insurance exchange licensed to conduct business in Minnesota. The remainder of paragraph 5 includes statements and conclusions of law to which no response is required in this Answer.

III. JURISDICTION AND VENUE

6. This Court has subject-matter jurisdiction under Minn. Stat. § 484.01.

ANSWER: Paragraph 6 contains a statement or conclusion of law which requires no response in this Answer.

7. This Court has personal jurisdiction over Defendant under Minn. Stat. § 543.19.

ANSWER: Paragraph 7 contains of a statement or conclusion of law which requires no response in this Answer.

8. Venue is proper in Hennepin County under Minn. Stat. § 542.09 because the cause of action, or some part thereof, arose in Hennepin County, where the insured property is located.

ANSWER: Paragraph 8 contains a statement or conclusion of law which requires no response in this Answer.

IV. FACTUAL BACKGROUND

A. The Policy

9. On October 22, 2014, Plaintiff Yibiao Lu and Defendant entered into Policy XXXXX-49-65, a Farmers Next Generation Homeowners Policy Minnesota, 2nd Edition, insuring the dwelling and personal property at 17756 George Moran Dr., Eden Prairie, Minnesota. Plaintiffs purchased the policy for personal, family, and household purposes. The policy has been continuously renewed since 2014, including the renewal in force on July 13, 2024.

ANSWER: FIE admits that Policy ending in 49-65, issued to Plaintiff Yibiao Lu, was effective 10/22/2023 through 10/22/2024. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 9. All terms of the Policy are incorporated herein by reference.

10. The policy in force on July 13, 2024 provides Coverage A (Dwelling) of \$886,000, classifies the property as Owner Occupied (Primary Residence), applies a "New Roof" discount, and imposes a 2% windstorm/hail deductible of \$17,720. Hail is an enumerated covered peril under Section I (Loss or Damage Insured) of the policy. Endorsements active on the loss date include 16898, 16944, MN079, and MN080. The policy's Section I - Property Conditions provide that suit on or arising out of the Section I property coverage "must be brought within two years after inception of the loss."

ANSWER: FIE is without sufficient information or knowledge to form an opinion on the truth of paragraph 10. FIE admits that Policy ending in 49-65 was effective 10/22/2023 through 10/22/2024. The policy speaks for itself.

11. Plaintiffs paid all premiums due under the policy through and after the loss date. Premium was priced to include windstorm/hail coverage.

ANSWER: FIE is without sufficient information or knowledge to form an opinion on the truth of paragraph 11. To the extent that paragraph 11 includes conclusions of law no response is required in this Answer.

B. The July 13, 2024 Hailstorm

12. On July 13-14, 2024, severe thunderstorms with hail struck the Twin Cities metropolitan area, including Eden Prairie. The National Weather Service Twin Cities/Chanhassen office documents hail up to 3.5 inches in east-central Minnesota and up to 4 inches near Monticello and Big Lake. Eden Prairie Airport (ASOS) recorded a 48 MPH wind gust at 1:00 AM on July 14, 2024, with Eden Prairie expressly named in the NWS wind-gust table. The July 13-14, 2024 hailstorm caused direct physical damage to the windows and other exterior components of Plaintiffs' insured dwelling.

ANSWER: FIE denies that a July 13-14, 2024, hailstorm caused direct physical damage to the windows and other exterior components of Plaintiffs' insured dwelling. FIE is without

sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 12.

C. Discovery of Damage and Claim Opening

13. On August 9, 2024, Mary of Legacy contractor contacted Plaintiffs to check whether recent storms had caused damage to the property, and Plaintiffs discovered multiple leaking windows. On August 13, 2024, Jack of Legacy visited the property, identified dents on the windows, and assisted Plaintiffs in opening a claim with Defendant. Defendant assigned the claim number XXXXXX6837-1-1.

ANSWER: FIE admits that it assigned the claim number ending in 6837-1-1 on or about August 13, 2024. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 13.

14. Plaintiffs cooperated with Defendant's claim-handling process throughout. Plaintiffs called Defendant for a status update on August 19, 2024 and proactively contacted Hancock Claims Consultants, Defendant's chosen inspection vendor, on August 20, 2024.

ANSWER: FIE admits that Plaintiff Yibiao Lu called and left a voicemail for Christian Dudley on August 19, 2024. FIE denies that Plaintiffs cooperated with Defendant's claim-handling process to the extent Plaintiffs attempted to direct the claim-handling process by adamantly advising Hancock Claims Consultants that the only thing that needed to be inspected was the windows on the inside where they were leaking. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 14.

D. The Three Inspections

15. **First inspection (August 29, 2024).** Hancock Claims Consultants, through Jayden Grimm, inspected the property at Defendant's direction and produced a systematic photo set of every window wrap, each tagged "Damaged-No."

ANSWER: FIE admits that Hancock Claims Consultants inspected the property on August 29, 2024. The Hancock Claims Consultants Inspection Photos speak for themselves.

16. **Second inspection (September 6, 2024).** Following Plaintiffs' September 5, 2024 submission of damage photographs, Defendant reopened the claim that same day.

Defendant's own Senior Claim Adjuster, Nicholas Brau, then personally inspected the property. During the inspection, Mr. Brau identified dents on multiple windows alongside Plaintiffs and measured window dimensions, and wrote notes and drew windows with dimensions on his paper notebook. Defendant has subsequently asserted, in a written communication on October 10, 2025, that "the file does not contain a report on the requested date." On October 29, 2025, Mr. Brau personally responded to Plaintiffs' request for his notes by stating "all the information we can release has already been sent to you" - a statement in tension with Defendant's "no report exists" position.

ANSWER: FIE admits that on or about September 5, 2024, Plaintiff submitted photos asserting damages to window sashes and that on September 6, 2024, Senior Claim Adjuster Nicholas Brau inspected the property. FIE admits that it sent correspondence to Mr. Lu on October 10, 2025, and October 29, 2025, and that the correspondence speaks for itself. FIE denies the remainder of paragraph 16.

17. **Third inspection (October 9, 2024).** Defendant retained Prieve Engineering, LLC, and engineer Nathan Prieve inspected the property. The Prieve Engineering report (File #241008) documents dents, marks, and indentations across at least twenty-five distinct windows, plus a sliding door, on the home, as documented in the report's Photo Appendix A and further identified by location and photograph number in paragraph 49(a) below. The report's Photo Appendix A separately documents - in captions Prieve's own office created - dented downspouts at three elevations of the home (photographs A-42 at the front, A-91 through A-93 at the south side, and A-98 and A-99 at the east side), dents in flashing at the deck (photograph A-103), additional trim board observations (photographs A-54, A-90, and A-148), and a dent with a scrape mark in the screen of a door window (photograph A-141). Notwithstanding this catalog of observed damage - including non-window damage Defendant had not asked the engineer to evaluate but which the engineer's photographer documented -the Prieve report concluded that the damage was not consistent with hail.

ANSWER: FIE admits that it retained Prieve Engineering, LLC to inspect the Plaintiffs' property. The Prieve Engineering report speaks for itself. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 17.

E. The Two Denials, on Incompatible Theories

18. **First denial (September 3, 2024).** Just days after the Hancock inspection, Defendant denied the claim by phone and by formal written letter signed by Catastrophe Claims Representative Christian Dudley. The September 3, 2024 letter affirmatively stated that "interior water damage around your windows was observed. There were no other damages observed. There was no opening created by the direct force of wind or hail that could have

occurred and allowed water to enter and cause immediate damage." That finding was contradicted three days later, on September 6, 2024, when Defendant's own adjuster Nicholas Brau personally observed dents on multiple windows and measured window dimensions.

ANSWER: FIE admits that it sent correspondence to Plaintiff Yibiao Lu on September 3, 2024. The September 3, 2024 correspondence speaks for itself. FIE denies the remainder of paragraph 18.

19. **Second denial (November 4, 2024).** Defendant issued a second formal denial citing six exclusions: Wear and Tear (§ I.A.7 / I.B.8); Marring (§ I.A.8); Corrosion, Deterioration, Decay, or Rust (§ I.A.9 / I.B.9); Inherent Vice or Latent Defect (§ I.A.4 / I.B.6); Neglect or Lack of Maintenance (§ I.B.4); and Faulty or Defective Construction (§ I.B.5).

ANSWER: FIE admits that it sent correspondence to Plaintiff Yibiao Lu on November 4, 2024. The November 4, 2024 letter speaks for itself.

20. **Defendant adopted Prieve Engineering's representation that "the most recent hail in Eden Prairie reported in 2020."** The November 4, 2024 denial transmitted Prieve's report to Plaintiffs as the basis for the denial. Prieve's report stated, in the Weather Records section, that stormersite and the NOAA Storm Events Database showed "most recent hail in Eden Prairie reported, in 2020." That representation of historical weather fact was and is objectively false. It is independently disproven by:

- a. National Weather Service Twin Cities/Chanhassen documentation of the July 13-14, 2024 storm system, which produced hail up to 3.5-4 inches across the region and a 48 MPH wind gust recorded at the Eden Prairie ASOS station at 1:00 AM on July 14, 2024;
- b. Stormersite data showing hail reports near Eden Prairie in 2022, 2023, and 2024;
- c. Plaintiffs' contemporaneous canvass of nineteen neighboring homeowners, of whom fourteen confirmed hail-driven exterior repairs in the immediate neighborhood after 2020; and
- d. Defendant's own September 12, 2025 appraisal award, signed by the umpire Wade Roos and by Plaintiffs' appraiser John Foster, finding hail as the cause of loss to insured windows at the property.

ANSWER: FIE admits that it provided Plaintiffs with the Prieve report on November 4, 2024, as a basis for its denial of Plaintiffs claim. The November 4, 2024 correspondence speaks for itself. The Prieve report speaks for itself. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 20. The remainder

of this paragraph alleges statements and conclusions of law which require no response in this Answer. To the extent that a response is required, FIE denies the same.

21. **The two denials rest on incompatible factual theories.** The September 3, 2024 letter says no exterior damage exists; the November 4, 2024 letter acknowledges damage exists but blames aging and prior storms. Both cannot be correct.

ANSWER: FIE denies paragraph 21 and alleges that paragraph 21 is incomplete and inaccurate in its description of the September 3, 2024 letter and the November 4, 2024 letter. The September 3, 2024 letter speaks for itself. The November 4, 2024, letter speaks for itself.

22. **The Prieve report on which the November 4, 2024 denial principally rests is independently deficient on its face.** The deficiencies include, without limitation:

- a. Defendant scoped Prieve's engagement to "windows only," excluding from the engineer's mandate the siding, downspouts, flashing, and doors Plaintiffs had reported as damaged, yet Defendant used the report -whose Conclusions purport to opine on siding as well - as the basis for denying the entire claim;
- b. Prieve's own Photo Appendix A documents non-window damage in its captions (dented downspouts at A-42, A-91 through A-93, A-98 and A-99; dented flashing at A-103; chipped trim board at A-54, A-90 and A-148) that the report's narrative and Conclusions do not address;
- c. Plaintiffs' gutters and downspouts were replaced after September 13, 2021, such that any dent on those components physically cannot pre-date late 2021 and is direct physical evidence of post-2020 hail activity at the property;
- d. the report's Background section acknowledges that "Convective storm activity and hail have been reported on multiple occasions in the area of the subject structure" while its Conclusion 1 states that "no recent hail damage has occurred" -internally inconsistent statements the report does not reconcile;
- e. the report's narrative uses the word "dent" or "dents" sixteen separate times on a single page (the east-side discussion) before concluding "no recent hail damage has occurred";
- f. the report contains no quantitative impact-force calculation, no terminal-velocity calculation, no material-specific dent-depth threshold for extruded aluminum or aluminum-clad wood windows, no peer-reviewed citation, and no stated error rate;
- g. Conclusion 4's dismissal of east-elevation damage rests on a generalization "storms moving from west to east with hail originating from a westerly direction" - not derived from the actual July 13-14, 2024 event, which the National Weather Service documents as a severe overnight system that produced hail over multiple hours of the same event. Defendant's own September 12, 2025 appraisal award refutes that generalization on its face: it awarded a rear/east window (B1.2, family room) as a hail loss alongside a front/west window (F1.7), confirming that hail struck the east elevation.

The premise is independently unsound because wind direction is not fixed within a single storm;

- h. the report's Activities section does not list as inputs the Hancock August 29, 2024 inspection workproduct, the September 3, 2024 first denial letter, any record of adjuster Nicholas Brau's September 6, 2024 observations, or Plaintiffs' photographic submissions of September 5, 8, and 10, 2024; and the report's own diagnostic for hail causation, articulated at page 6 in the rear/east garage window discussion ("No smooth or rounded dents were observed in the frame or sashes"), is internally inconsistent with the report's documented observations of "rounded dents ... at sashes" at the front/west triple window (page 4) and "two dents ... generally smooth" at the north porch four-unit window (page 5), which by Prieve's own diagnostic are hail damage but which Prieve attributes to "a prior hail claim" without methodological support and without alignment to Defendant's own 2020 Xactimate scope. Prieve's operative premise - that hail dents are "smooth or rounded" and that dents containing scrape marks or elongated profiles are "not consistent with hail" - is contrary to published authority of the National Oceanic and Atmospheric Administration and to peer-reviewed engineering and atmospheric-science literature, which establish that hailstones are commonly irregular and lobed and that wind-driven hail strikes building surfaces at oblique angles, routinely producing elongated, off-center, and scrape-marked impact signatures. Defendant adopted this scientifically unsupported diagnostic as a basis for denial.

ANSWER: FIE denies that the Prieve report is deficient on its face. The Prieve report speaks for itself. FIE is without sufficient information or knowledge to form an opinion of the remainder of paragraph 22 and the paragraph alleges statements and conclusions of law which require no response in this Answer. FIE denies the remainder of paragraph 22 to the extent that a response is required.

23. **Defendant's own 2020 claim file establishes a baseline condition of the windows that forecloses its "prior damage" rationale for all but the two paid units.** The 2020 hail claim (claim XXXXXX9499-1) is Defendant's own contemporaneous documentation of the condition of the windows at the property as of the October 13, 2020 inspection. That file does not support the Prieve report's "already paid in 2020" theory:

- a. **The 2020 scope reached at most two window units.** The 2020 Building Loss Worksheet and Xactimate approved two casement windows at line items 1-4, with no other window-related line items. Plaintiffs maintain that the damage within that scope was confined to two sashes, not two whole window units; but on either reading, the 2020 claim reached no more than two of the home's window units.

- b. **Defendant's 2020 inspection documented hail dents warranting repair on only those two paid units and identified no other dented sash or window anywhere on the home.** Defendant's own record therefore reflects that, as of October 13, 2020, no window or sash on the property other than those two paid units was identified as hail-damaged. Any dent that the 2024 inspections documented on a different sash or window is, by Defendant's own baseline, damage that post-dates the 2020 inspection.
- c. **The only hail event documented at the property in Defendant's claim records after the 2020 inspection is the July 13, 2024 hailstorm.** The post-2020 dents the Prieve report catalogs across at least twenty-five windows therefore align with the July 13, 2024 loss and cannot be attributed to the 2020 claim, which by Defendant's own scope reached at most two window units.
- d. **Prieve's attribution of dents to "a prior hail claim" exceeds what Defendant's 2020 file can support.** The Prieve report documents dents at additional sashes on the same windows and attributes "rounded dents ... at sashes" on multiple windows to "a prior hail claim," yet Defendant's 2020 scope compensated at most two window units. The "prior claim" basket cannot hold more sashes than Defendant's own 2020 record documented, and Prieve's attribution of additional sashes to the 2020 claim is contradicted by Defendant's own file.
- e. **Defendant's 2020 photo log records observations its 2020 estimate did not pay.** At page 7 of the Prieve report the engineer acknowledges that the chip he observed at trim board photograph A-53 "is visible in prior photo logs from Farmers Insurance dated October 13, 2020," yet that trim damage was not addressed in the 2020 Xactimate. This confirms that Defendant's 2020 photo log and 2020 payment scope are not coextensive, and that the precise per-sash 2020 scope is fixed by the 2020 Xactimate and photo log - records Defendant has not produced in full.

ANSWER: FIE denies paragraph 23. FIE is without sufficient information or knowledge to form an opinion on the truth of 23(a) – 23 (e). Paragraph 23(a) – 23(e) allege statements and conclusions of law which require no response in this Answer. FIE denies the remainder of paragraph 23(a)- 23(e) to the extent that a response is required.

F. The “Engineer’s Report Only” Gatekeeping Rule

24. On February 3, 2025, Defendant's field claim supervisor, Bradlee Monson, told Plaintiffs by telephone that Defendant would not review any evidence or documents from Plaintiffs unless they were provided by an engineer. Mr. Monson added during the same conversation that "extruded aluminum windows are easily damaged."

ANSWER: FIE admits Bradlee Monson spoke with Yibiao Lu on February 3, 2025. FIE admits that during that call, Mr. Monson informed Plaintiff Lu, in part, that Plaintiff could send in his own engineer's report that would be peer reviewed. FIE is without sufficient knowledge or information to form an opinion on the truth of the remainder of paragraph 24.

25. On February 10, 2025 at 11:06 AM, Defendant's adjuster Nicholas Brau left a voicemail confirming the rule and attributing it to Mr. Monson: "Brad reached out to me on the field claim supervisor wanted me to let you know that he did receive the information that you just sent in recently but it's not an engineers report so I believe that's what he wanted to look for from you."

ANSWER: FIE admits that Mr. Brau left Yibiao Lu a voicemail on February 10, 2025, advising Lu, in general, that FIE had received his email and information and that the information did not include an engineer's report. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 25.

26. **The policy contains no provision requiring evidence to come from an engineer.** The "engineer's report only" rule was articulated at the supervisor level and enforced through the assigned adjuster. The rule was used to refuse review of (a) Plaintiffs' January 31, 2025 appeal package containing stormersite weather data and post-2021 gutter-replacement evidence, (b) Plaintiffs' February 10, 2025 second response containing City of Eden Prairie permit records and the 14-of-19 neighbor canvass, and (c) Plaintiffs' May 28, 2025 submission of the National Weather Service article and Interactive Hail Maps data delivered through Defendant's own agent Peter Pietila.

ANSWER: FIE admits that the policy does not contain a provision requiring evidence to come from an engineer. The policy speaks for itself. FIE denies the remainder of paragraph 26.

G. Plaintiffs' Repeated Submissions of Disproving Evidence; Defendant's Refusal to Engage

27. Plaintiffs repeatedly submitted evidence disproving the factual premises of Defendant's denials, and Defendant's response changed after its second denial. After the September 3, 2024 first denial, Plaintiffs submitted photographs of the damage on September 5, 8, and 10, 2024; Defendant reopened the claim on September 5, 2024 and conducted the September 6 and October 9, 2024 inspections -but the result was the November 4, 2024 second denial. After the November 4, 2024 second denial, Plaintiffs submitted three further

rounds of disproving evidence - the January 31, 2025 appeal package, the February 10, 2025 second response, and the May 28, 2025 National Weather Service and Interactive Hail Maps submission - yet Defendant did not retract the denial, did not reopen the claim, and did not engage substantively with any of them. Plaintiffs' regulatory complaint to the Minnesota Department of Commerce filed November 19, 2024 (Complaint ID 93547) was processed and escalated to Director-level review but produced no compulsory action.

ANSWER: FIE denies paragraph 27 to the extent it alleges that Plaintiffs repeatedly submitted evidence disproving the factual premises of Defendant's denials or that FIE's response changed after its second denial. The correspondence from FIE to Plaintiffs dated September 3, 2024 and November 4, 2024 speaks for itself. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 27.

H. Plaintiffs' Direct Inquiry About Deadlines; Defendant's Non-Answer; Defendant's Continued Participation in the Claim

28. On July 10, 2025, Plaintiffs wrote to Defendant's adjuster Nicholas Brau, field claim supervisor Bradlee Monson, and agent Peter Pietila, asking in writing: "Is there any other deadline for hail claim XXXXXX6837-1? If there is any, this email would also serve as our request to extend those deadline(s)." On July 11, 2025, Mr. Brau responded through Defendant's Claim Portal with only the following generic paragraph: "Please note there are time limits set forth in the Conditions ('Lawsuits Against Us' or 'Legal Action Against Us' or 'Suit Against Us') section of the policy which, depending on your state, may affect the time within which you may pursue your claim. This period may have been extended by statute or case law." The response identified no specific deadline and did not address Plaintiffs' request for an extension. Plaintiffs' same-day follow-up of July 11, 2025, confirming their understanding that the only applicable deadline was the policy's two-year suit limitation, drew no response or correction from Mr. Brau or anyone else at Farmers.

ANSWER: FIE admits that on July 10, 2025, Lu emailed FIE and that on July 11, 2025 Mr. Brau responded to Mr. Lu via email. The July 10, 2025 email speaks for itself. The July 11, 2025 email speaks for itself. FIE denies that it did not respond to Plaintiffs' July 11 email.

29. After Plaintiffs' July 10, 2025 deadline inquiry, Defendant continued to treat the claim as live and participated fully in the contractual appraisal process: Defendant accepted Plaintiffs' August 3, 2025 Demand for Appraisal, named its own appraiser within the statutory window, and proceeded through the September 12, 2025 appraisal inspection and award without ever identifying any deadline shorter than the policy's two-year suit-limitation period or asserting that any limitation period had expired. To the extent any endorsement, statute, or

other instrument is later asserted to impose a suit-limitation period shorter than two years, Defendant, by the conduct described in this paragraph and paragraph 28, waived any such shorter period and is estopped from asserting it.

ANSWER: FIE admits that Plaintiffs demanded appraisal on August 3, 2025; that FIE named an appraiser; and that the appraisal took place on September 12, 2025. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 29. The remainder of paragraph 29 contains statements and conclusions of law which require no response in this Answer. FIE denies the remainder of paragraph 29 to the extent that a response is required.

I. The Appraisal Process

30. On August 3, 2025, Pure Construction, on behalf of Plaintiffs, filed a formal Demand for Appraisal under Minn. Stat. § 65A.01, naming claim XXXXXX6837-1-1, loss date July 13, 2024, and three separate items in dispute - Windows, Siding (repaint), and Siding (replace and remove)- the latter two submitted as distinct siding items, each requiring a separate statement of actual value and loss under Minn. Stat. § 65A.01, Subd. 3. Plaintiffs filed a Sworn Statement on Proof of Loss with the demand stating a total claimed loss of \$310,000 against Coverage A of \$886,000 with a \$17,720 deductible.

ANSWER: FIE admits that Plaintiff Yibiao Lu made a formal demand for appraisal on or about August 3, 2025, which identified windows, siding (repaint) and siding (R&R) as items to be considered by the appraisal panel. The demand for appraisal speaks for itself. FIE admits that Plaintiff filed a Sworn Statement in Proof of Loss. The Sworn Statement in Proof of Loss speaks for itself. The remainder of paragraph 30 includes statements and conclusions of law which require no response in this Answer.

31. The appraisal proceeded under § 65A.01. Plaintiffs' appraiser was John Foster, who was selected and retained through contractor Pure Construction; Plaintiffs did not select, interview, or vet Mr. Foster, and Plaintiffs were asked not to speak with any member of the appraisal panel before, during, or after the September 12, 2025 inspection. Defendant's appraiser was Greg Tomes. The umpire was Wade Roos. The September 12, 2025 Appraisal Award, signed by Wade Roos and John Foster, records the cause of loss as "Hail" - both in the form's "Loss Cause" field and in a per-item "Causation" column. The award gave "Windows (Fl.7 / Bl.2)" a Replacement Cost Value of \$12,800 and Actual Cash Value of

\$6,400, attributed to "Hail." On the same form, the panel listed a "Siding & Paint" line item and a "Debris" line item - each likewise marked "Hail" in the Causation column - at \$0 Replacement Cost Value and \$0 Actual Cash Value. The award therefore found hail to be the cause of loss for the siding, while awarding nothing for it. Greg Tomes did not sign.

ANSWER: FIE admits that the Plaintiffs' appraiser was John Foster, FIE's appraiser was Greg Tomes, and that the umpire was Wade Roos. FIE admits that there was an Appraisal Award on September 12, 2025, signed by Wade Roos and Plaintiffs' appraiser John Foster. The Appraisal Award speaks for itself.

32. **The appraisal panel found hail as the cause of loss** to the awarded windows. Under *Quade v. Secura Insurance*, 814 N.W.2d 703 (Minn. 2012), the panel's causation finding is binding on Defendant.

ANSWER: FIE admits that the appraisal panel identified hail as the cause of loss to the awarded windows. The remainder of paragraph 32 contains statements and conclusions of law which require no response in this Answer.

33. **The award does not state actual value and loss separately to each item.** The award identifies the awarded windows only by the undefined codes "F1.7" and "B1.2" against a single lump-sum \$12,800 RCV. Plaintiffs cannot determine from the face of the award which windows are covered.

ANSWER: FIE denies that the Appraisal Award does not state actual value and loss separately to each item. The Appraisal Award speaks for itself. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 33, and therefore, the same is denied.

34. **The umpire produced no report or estimate.** On September 24, 2025, Defendant confirmed in writing: "Unfortunately, the umpire did not provide a report or estimate."

ANSWER: FIE is without sufficient information or knowledge to form an opinion on the truth of the statement that the umpire produced no report or estimate. FIE admits that it

confirmed that the umpire did not provide FIE with a report or estimate and referred Plaintiff Lu to his appraiser for any additional details he may have in his file.

35. **The net payment to Plaintiffs is \$0** because the \$17,720 deductible exceeds the \$6,400 ACV awarded.

ANSWER: Admit that no payment was due to Plaintiffs because the amount awarded to Plaintiffs per the Appraisal Award did not exceed the Plaintiffs' deductible.

J. Post-Appraisal Refusal to Engage

36. **Defendant has been unable to consistently describe its own binding award.** On September 18, 2025 Defendant described the awarded windows as "front right, and the rear elevation in the dining room"; on September 19, 2025 Defendant said the dining-room reference was a mistake and that the rear awarded window is in the family room; on October 14, 2025 Defendant repeated the original "dining room" description.

ANSWER: FIE admits that on September 18, 2025, it forwarded to Plaintiff Lu the appraiser's position on the windows. The September 18, 2025 email speaks for itself. FIE admits that on September 19, 2025, it sent Lu a letter attaching the appraiser's response, which stated, in part "The damage to the windows on the rear elevation was in the family room. I mistakenly stated the dining room in my report." The September 19, 2025 letter with attachment speaks for itself. FIE admits that on October 14, 2025, it sent an email to the insurance agent identifying prior communication to Plaintiff Lu regarding the appraiser's position on the windows. The October 14, 2025 speaks for itself. FIE denies the remainder of paragraph 36.

37. **The appraiser's position, as transmitted by Defendant, documented damage to the front dining-room window but excluded it from the award on a prior-claim theory that is incorrect.** In Defendant's September 19, 2025 correspondence correcting the September 18, 2025 description of the award, Defendant's transmittal of the appraiser's position stated that the damage to the front dining-room window "was from the prior claim," and on that basis the dining-room window was not included in the September 12, 2025 award. The front dining-room window is a three-sash window. On information and belief, only one of its three sashes was within the scope of Defendant's 2020 claim payment (claim XXXXXX9499-1); the remaining two sashes sustained new dents from

the July 13, 2024 hailstorm that were never evaluated or paid. Whether a prior claim payment bars recovery for new damage to different, previously unpaid sashes is a question of coverage and offset reserved to the Court, not a question of causation within the appraisal panel's authority under *Quade v. Secura Insurance*, 814 N.W.2d 703 (Minn. 2012). To the extent the panel excluded the dining-room window on a prior-payment rationale, that determination does not bind the Court, and coverage and amount of loss for the two previously unpaid, newly damaged sashes remain live questions for the Court.

ANSWER: FIE is without sufficient information or knowledge to form an opinion on the truth of paragraph 37. This paragraph alleges statements and conclusions of law which require no response in this Answer. FIE denies that the Appraisal Award is not binding on the parties. The Appraisal Award speaks for itself.

38. **An entire window on the home appears nowhere in Defendant's inspection record.** A two-sash fixed window, approximately four feet by four feet, is located on the rear elevation of Plaintiffs' attached garage, closer to the main structure and immediately south of the garage's other rear-elevation window (the only garage window Defendant's inspection documented), partially obstructed by a shed, and accessible only through a narrow gap between the shed and the house wall or by passing through the shed. Defendant's own records (the 2023 renewal's "Information We Have About Your Home") describe the garage as a three-car attached garage, insured under Coverage A. The Prieve Engineering report - whose stated scope was to "evaluate the condition of windows in the home as relates to hail" - contains no photograph of this window anywhere in its 217-photograph Photo Appendix A and no mention of it in its narrative or Conclusions; the only garage window the report documents is a different, two-unit window on the same rear elevation, situated to the north of the window described above (photographs A-213 through A-217). On information and belief, neither Prieve Engineering nor any other person acting for or retained by Defendant has ever inspected this window, and no inspection record, photograph, or evaluation of it exists in Defendant's claim file or in the appraisal record.

ANSWER: FIE is without sufficient information or knowledge to form an opinion on the truth of paragraph 38, and the same is therefore denied.

39. **Defendant has refused to address the gap between the awarded scope (two windows) and the photographic record (most of the home's windows).** On October 21, 2025, when Plaintiffs asked Defendant in writing why most of their damaged windows were not covered, Defendant replied: "The claim was settled per the binding appraisal award received. The loss is under your deductible. If you need information as to why additional windows were not included in the award then you will need to contact your appraiser to obtain that information."

ANSWER: FIE denies the first sentence of paragraph 39. FIE admits the remainder of paragraph 39.

40. **Plaintiffs have continued to suffer ongoing physical damage.** On October 28, 2025, Plaintiffs reported to Defendant that windows were actively leaking on a rainy day. Defendant did not respond on the merits.

ANSWER: FIE denies paragraph 40.

K. Missing Investigation and Appraisal Records

41. The following records, each of which Defendant or its agents had a duty to create or preserve, do not exist or have not been produced despite Plaintiffs' written requests: (a) any written report, notes, or record of Defendant's own adjuster Nicholas Brau's September 6, 2024 onsite inspection, at which Mr. Brau personally observed dents on multiple windows, measured window dimensions, and wrote notes and drew pictures on his paper notebook - Defendant stated in writing on October 10, 2025 that "the file does not contain a report on the requested date," while Mr. Brau stated on October 29, 2025 that "all the information we can release has already been sent to you"; (b) any report or estimate from the appraisal umpire - Defendant confirmed in writing on September 24, 2025 that none exists; and (c) the line-item identification of which windows or sashes were within the 2020 claim's scope, which Plaintiffs have repeatedly requested. Defendant is a regulated property insurer subject to the claim-file documentation requirements of Minn. Stat. § 72A.201, including Subdivision 9(3), which makes it an unfair claims practice to fail to include in the claim file all written communications and transactions emanating from or received by the insurer, as well as all notes and work papers relating to the claim, and knew or should have known, at all times after its September 3, 2024 denial, that its claim file would be material to reasonably foreseeable litigation. Plaintiffs reserve the right to seek discovery sanctions under Minn. R. Civ. P. 37 and an adverse-inference instruction at trial.

ANSWER: FIE denies that it engaged in an unfair claims practice as alleged in paragraph

41. FIE is without sufficient information or knowledge to form an opinion on the truth of remainder of paragraph 41, which includes numerous statements and conclusions of law which require no response in this Answer.

L. Manufacturer Discontinuation of the Insured Windows

42. The insured windows are, on information and belief, manufactured by Semco Windows and Doors of Merrill, Wisconsin, with manufacturer stamps in the sashes from 1993, 1997, 2008, and 2014. The three sashes of the front dining-room window are all stamped 2008, and the awarded family-room window (B1.2) includes a sash manufactured in 2014 whose hardware and appearance match that window's other sashes. Defendant's

September 18, 2025 description of the insured windows listed manufacturer stamps of only 1993, 1997, and 2008 and omitted the 2014 sash- an incompleteness in Defendant's scope description that extends even to a window the appraisal panel evaluated and awarded.

ANSWER: FIE denies paragraph 42 to the extent that it alleges “an incompleteness in Defendant’s scope description that extends even to a window the appraisal panel evaluated and awarded.” FIE is without information or knowledge to form an opinion on the truth of the remainder of paragraph 42.

43. Semco Windows and Doors ceased operations on December 31, 2019. Sierra Pacific Windows acquired Semco's operating assets in February 2020 and did not continue manufacturing Semco's product line. On information and belief, current-production matching profiles for the windows' specific 1993, 1997, 2008, and 2014 sash stamps are not available, requiring use of comparable current-production extruded aluminum equivalents (such as Pella Reserve Traditional or Marvin Ultimate, identified by Plaintiffs and their contractor on June 12, 2025) for any replacement.

ANSWER: FIE is without information or knowledge to form an opinion on the truth of the remainder of paragraph 43.

V. CONDITION PRECEDENT

44. Plaintiffs have performed all conditions precedent under the policy, as set forth in paragraphs 13-14, 27, and 30 above, including timely notice, cooperation with three inspections, submission of a sworn statement on proof of loss, and participation in the contractual appraisal process.

ANSWER: FIE admits that Plaintiffs allowed three inspections of the property at issue, that Plaintiffs submitted a sworn statement in proof of loss, and that Plaintiffs demanded appraisal. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 44 which alleges statements and conclusions of law to which no response is required in this Answer. FIE denies the remainder of paragraph 44 to the extent a response is required.

VI. CAUSES OF ACTION

COUNT I – BREACH OF CONTRACT

45. Plaintiffs reallege and incorporate paragraphs 1 through 44 above.

ANSWER: No response is required to this statement. FIE incorporates its answers to paragraphs 1 through 44 above.

46. Policy XXXXX-49-65 is a valid and enforceable contract. The policy was in force on July 13, 2024.

ANSWER: Admit.

47. Plaintiffs performed all conditions precedent.

ANSWER: Paragraph 47 alleges a statement or conclusion of law to which no response is required in this Answer.

48. Hail caused direct physical damage to insured windows on July 13, 2024. The September 12, 2025 appraisal award is binding under Minn. Stat. § 65A.01, Subd. 3 as to the matters it determined, including the panel's finding that hail caused the loss to the windows it awarded. Under *Quade v. Secura Insurance*, 814 N.W.2d 703 (Minn. 2012), the panel's causation finding precludes Defendant from asserting in this action that the windows the panel evaluated were damaged by wear and tear, marring, corrosion, deterioration, decay, rust, inherent vice, latent defect, neglect, lack of maintenance, or faulty or defective construction.

ANSWER: FIE admits that the Appraisal Award is binding. The Appraisal Award speaks for itself. The remainder of paragraph 48 contains statements and conclusions of law which require no response in this Answer. FIE denies the remainder of paragraph 48 to the extent a response is required.

49. **The September 12, 2025 award did not resolve coverage for hail-damaged windows the panel did not evaluate, and the panel had no jurisdiction over claim components Plaintiffs did not submit to it.** The breach-of-contract claim therefore proceeds along two distinct lanes that do not require disturbing the existing award:

- a. **Windows the panel did not evaluate (the *Quade* reservation).** The award identifies the awarded windows only by the undefined codes "F 1.7" and "B 1.2." Defendant has acknowledged that the umpire produced no report or

estimate, and Defendant has been unable to describe the award's scope consistently across three written attempts. Nothing on the face of the award, and nothing in any record Defendant has produced, shows that the panel individually inspected and valued any window beyond the two it awarded. The Prieve Engineering report itself documents dents, marks, and indentations across at least twenty-five distinct windows, plus a sliding door, on the home, including the upper-west three-unit bedroom window (photographs A-43 through A-46), the upper window above the main entry (photographs A-48 through A-50), the main-level window on the west side, south of the entry (photographs A-52 and A-55 through A-58, with a dent on the bottom frame at A-56), the upper-level bedroom window on the west side, south of the entry (photographs A-59 through A-65), the upper southeast-facing family room window (photographs A-106 and A-107; Prieve documents a dent with scrape marks in the frame at A-107), the upper-east family room window (photographs A-118 through A-124), the lower northeast-facing family room window (photographs A-125 through A-127 and A-130 through A-132) and the upper northeast-facing family room window (photographs A-133 through A-135), the southeast window at deck (photographs A-136 through A-140), the upper-east window at the south quadrant (photographs A-142 through A-146), the upper bay window group at the central quadrant- comprising a southeast-facing window (photographs A-147 through A-152), a central window (photographs A-153 through A-156), and a northeast-facing window (photographs A-157 through A-160), the upper east window above porch (photographs A-161 through A-163) and the southeast window at porch (photographs A-164 through A-166), the east-facing window at the porch (photographs A-167 through A-172) and the northeast-facing window at the porch (photographs A-173 through A-175), the north-facing porch window (photographs A-176 through A-183, which Defendant's engineer attributes to the 2020 prior claim -an attribution Plaintiffs dispute as to all sashes beyond the two previously paid), the east-facing kitchen corner window (photographs A-184 through A-186) and the north-facing kitchen corner window (photographs A-190 through A-195), the main-level east window at the north quadrant (photographs A-196 through A-204), the upper-north window above the kitchen (photographs A-205 and A-206), and the rear/east garage window (photographs A-213 through A-217). Under *Quade*, the panel's authority extends only to items it actually evaluated. For each hail-damaged window the panel did not evaluate, coverage and amount of loss remain live coverage questions for the Court, and Defendant's failure to pay is a breach of the policy that the Court may adjudicate without disturbing the existing award. Defendant, as the party asserting that the award precludes recovery for these windows, bears the burden of showing that the panel actually evaluated them -a showing its own missing record undercuts. Defendant's own 2020 claim file reinforces that these are live questions: as set forth in paragraph 23 above, the 2020 file documents hail dents on only two sashes and identifies no other dented window or sash on the home, so any dent the 2024 inspections documented on a different

window or sash is, on Defendant's own baseline, new post-2020 damage for which no prior payment was made. In addition: (i) the appraiser's position transmitted by Defendant documented damage to the front dining-room window but excluded it from the award solely on the ground that the damage was "from the prior claim" (paragraph 37 above); because, on information and belief, only one of that window's three sashes was within the 2020 claim payment, and because a prior-payment bar is a coverage and offset question outside the panel's causation authority, coverage and amount of loss for the two previously unpaid, newly damaged sashes remain live questions for the Court; and (ii) the rear-of-garage window described in paragraph 38 appears nowhere in the Prieve inspection record on which Defendant relied and, on information and belief, was never inspected or evaluated by anyone - it is therefore an unevaluated item whose coverage and amount of loss are reserved to the Court, a conclusion supported by the absence of any photograph, narrative mention, or evaluation record of that window anywhere in Defendant's claim file or the appraisal record.

- b. **Claim components outside the appraisal panel's jurisdiction.** Plaintiffs' August 3, 2025 Demand for Appraisal listed three items: Windows, Siding (repaint), and Siding (R&R). The Demand did not include downspouts, flashing other than wall-base flashing tied to siding, or exterior doors. The appraisal panel therefore had no jurisdiction over those components, and the September 12, 2025 award could not and did not address them. The Prieve report's Photo Appendix A nevertheless documents (i) dented downspouts at three elevations of the home-photographs A-42 (front), A-91 through A-93 (south side), and A-98 and A-99 (east side); (ii) dented flashing at the base of the wall along the deck-photographs A-103, A-128, and A-129; and (iii) a dent with scrape mark in the screen of the sliding-door window at the east side of the deck-photographs A-136 and A-141. Plaintiffs' gutters and downspouts were replaced after September 13, 2021, such that any dent on those components is direct physical evidence of post-2020 hail at the property. Coverage and amount of loss for each of these non-window components is a live coverage question for the Court under Count I, and Defendant cannot raise the binding effect of the appraisal award as a bar because the panel never had jurisdiction over them.

ANSWER: FIE denies paragraph 49 to the extent that it alleges that the September 12, 2025 Appraisal Award is not valid and binding on the parties. The Appraisal Award speaks for itself. FIE is without sufficient information or knowledge to form an opinion on the truth of the remainder of paragraph 49. The remainder of paragraph 49 contains statements and conclusions of law which require no response in this Answer. FIE denies the remainder of paragraph 49 to the extent a response is required.

50. **Causation-versus-coverage backstop.** To the extent Defendant contends that the appraisal panel evaluated any window or item beyond those awarded and declined to award it, any such non-award that rested on a policy exclusion, a wear-and-tear or maintenance theory, a prior-payment or offset theory, or any other coverage ground was a determination of coverage -a question of law reserved to the Court - and not a determination of factual causation within the panel's authority under Minn. Stat. § 65A.01 and *Quade v. Secura Insurance*, 814 N.W.2d 703 (Minn. 2012). Any such coverage-based determination is not final or binding, and the coverage question for each such window or item is decided by the Court de novo under this Count. The award illustrates this distinction on its face: the panel marked the "Siding & Paint" line "Hail" in the Causation column yet awarded \$0, which can only be a determination of coverage or value, not causation - the hail-causation finding binds Defendant under *Quade*, while the \$0 result, to the extent it rests on any exclusion, cosmetic-damage, or other coverage rationale, is a coverage determination outside the panel's authority that this Court decides de novo.

ANSWER: Paragraph 50 alleges statements and conclusions of law to which no response is required. FIE denies paragraph 50 to the extent a response is deemed required.

51. **The policy's "comparable material and quality" replacement-cost obligation is a coverage question reserved to the Court under *Quade*.** In the alternative, where the original-equipment manufacturer of the awarded windows is no longer in operation, Endorsement J6944 ("Limited Matching of Undamaged Property") does not relieve Defendant of the matching obligation recognized in *Cedar Bluff Townhome Condominium Ass'n v. American Family Mut. Ins. Co.*, 857 N.W.2d 290 (Minn. 2014). The awarded family-room window (B1.2) is itself a matched original-equipment set: one of its sashes was manufactured in 2014 with hardware and appearance matching the window's other sashes, demonstrating that the insured windows were assembled as a matched set from the original manufacturer, Semco Windows and Doors, whose operations ceased on December 31, 2019. Because a matching Semco sash can no longer be sourced from the original manufacturer, replacing the damaged sashes with materials of comparable material and quality requires a match that is no longer achievable - the precise circumstance in which *Cedar Bluff* requires the matching cost to be paid as part of the replacement cost. J6944 by its own terms applies only to "property which is not damaged by the covered peril," and its diminution-in-value subparagraph (2) does not modify the replacement-cost obligation for damaged property.

ANSWER: FIE is without sufficient information or knowledge to form an opinion of the truth of paragraph 51. Paragraph 51 alleges statements and conclusions of law to which no response is required. FIE denies paragraph 51 to the extent a response is deemed required.

52. **The replacement cost owed for the covered windows includes the necessary incidental costs of completing the replacement.** The policy's replacement-cost obligation is the full, reasonable cost to repair or replace the damaged property - including work the window replacement necessarily requires, such as removing window blinds and

coverings, restoring disturbed trim, and exterior repainting. Because the replacement windows are current-production equivalents of the discontinued Semco units (paragraph 51) and differ in dimension, inside-mounted blinds sized to the original windows cannot be reused and must be replaced. Plaintiffs have also suffered consequential water-intrusion and mold damage from the leaking windows (paragraph 40). The award's lump-sum \$12,800 Replacement Cost Value neither itemized nor included any of these costs. These incidental costs, together with the replacement cost of the windows the panel did not evaluate (paragraph 49(a)) and the matching cost (paragraph 51), bring the full replacement cost of the covered loss above the policy's \$17,720 windstorm/hail deductible; coverage for and the amount of these costs remain live questions for the Court, unforecasted by an award that did not address them.

ANSWER: FIE is without sufficient information or knowledge to form an opinion of the truth of paragraph 52. Paragraph 52 alleges statements and conclusions of law to which no response is required. FIE denies paragraph 52 to the extent a response is deemed required.

53. Defendant has further breached the implied covenant of good faith and fair dealing by issuing the September 3, 2024 denial just days after the August 29, 2024 inspection, without any forensic or engineering analysis, in reliance entirely on a third-party inspection report (Hancock Claims Consultants) that uniformly marked every inspected component of the home -windows, siding, garage, and, downspouts - as "Damaged - No"; by resting that denial's "no other damages observed" representation on a report that cleared the home's downspouts as undamaged even though those same downspouts were later documented as dented and had been replaced after September 13, 2021, such that any dent on them was direct physical evidence of post-2020 hail; by issuing that denial before Defendant's own adjuster personally observed hail dents on the home's windows three days later; by adopting and transmitting Prieve Engineering's objectively false "no hail in Eden Prairie after 2020" representation; by scoping the Prieve Engineering engagement to "windows only" while damage to other components had been claimed, and then using the resulting "windows only" report to support denial of the entire claim; by adopting a report whose own Photo Appendix A documents non-window damage (dented downspouts at A-42, A-91 through A-93, A-98 and A-99; dented flashing at A-103) that the report's narrative and Conclusions ignore; by relying on an inspection that, on information and belief, did not examine every window within its own stated scope (paragraph 38 above); by imposing the supervisor-level "engineer's report only" rule found nowhere in the policy and using it to refuse review of Plaintiffs' supplemental evidence; by issuing two formal denials on incompatible factual theories; by advancing a "prior damage" and "already paid in 2020" rationale that Defendant's own 2020 claim file contradicts, in that the 2020 file documents hail dents on only two sashes and identifies no other dented window or sash on the home (paragraph 23 above); by failing to maintain or produce a written investigation record from Defendant's own September 6, 2024 inspection; and by declining to identify any claim deadline in response to Plaintiffs' direct written inquiry of July 10, 2025.

ANSWER: FIE denies paragraph 53 to the extent it alleges that FIE's September 4, 2024 claim outcome correspondence was improper in any way or a breach of any covenant of good faith and fair dealing. FIE is without sufficient information or knowledge to form an opinion of the truth of the remainder of paragraph 53. Paragraph 53 alleges statements and conclusions of law to which no response is required. FIE denies the remainder of paragraph 53 to the extent a response is deemed required.

54. As a direct and proximate result of Defendant's breach, Plaintiffs have suffered damages in excess of \$50,000.

ANSWER: Deny.

COUNT II – DECLARATORY JUDGMENT (MINN. STAT. CH. 555)

55. Plaintiffs reallege and incorporate paragraphs 1 through 54 above.

ANSWER: No response is required to this statement. FIE incorporates its answers to paragraphs 1 through 54 above.

56. A justiciable controversy exists between Plaintiffs and Defendant under Policy XXXXX-49-65 with respect to the July 13, 2024 hail loss. Defendant has denied coverage twice in writing, has paid nothing following a binding appraisal award confirming hail causation, and maintains that the claim is "settled per the binding appraisal award received"; Plaintiffs dispute each of those positions.

ANSWER: FIE denies the first sentence of paragraph 56. The September 12, 2025 Appraisal Award is binding. FIE admits the remainder of paragraph 56.

57. Plaintiffs request a judicial declaration, pursuant to Minn. Stat. §§ 555.01---.16, that:

- (a) The July 13, 2024 hail loss is a covered loss under Section I (Loss or Damage Insured) of Policy XXXXX-49-65, subject only to the \$17,720 windstorm/hail deductible.
- (b) Defendant is precluded under *Quade v. Secura Insurance*, 814 N.W.2d 703 (Minn. 2012), and the binding effect of the September 12, 2025 appraisal award from asserting that the windows identified by codes "F1.7" and "B1.2" were damaged by wear and tear, marring, corrosion, deterioration, decay, rust, inherent vice, latent defect, neglect, lack of maintenance, or

- faulty or defective construction.
- (c) The September 12, 2025 award did not resolve coverage as to hail-damaged windows the panel did not evaluate. The question of coverage and amount of loss for each such window remains a live coverage question for the Court.
 - (d) Read together, the policy's Section I.A.8 (excluding marring), Section I.A.8(b) (restoring coverage for marring "directly caused by, arises out of or results from ... windstorm or hail"), and the policy's Definitions § 16 (defining "Marring" to include "denting") do not defeat coverage for hail-caused dents to insured windows. To the extent the policy is reasonably susceptible to more than one interpretation on this point, the ambiguity is resolved in favor of coverage. *Hammer v. Investors Life Ins. Co. of N Am.*, 511 N.W.2d 6, 8 (Minn. 1994); *Atwater Creamery Co. v. Western Nat'l Mut. Ins. Co.*, 366 N.W.2d 271 (Minn. 1985).
 - (e) Endorsement J6944 ("Limited Matching of Undamaged Property") does not bar coverage for the cost to repair or replace windows that themselves sustained direct hail damage. Subparagraph (1) of J6944 applies, by its own terms, only to "property which is not damaged by the covered peril." Subparagraph (2) bars only "actual or perceived loss in value" and does not modify Defendant's obligation to pay the replacement cost of damaged property under the policy's "comparable material and quality" standard. Where the original-equipment manufacturer of insured windows is no longer available, J6944 does not relieve Defendant of the matching obligation recognized in *Cedar Bluff Townhome Condominium Ass'n v. American Family Mut. Ins. Co.*, 857 N.W.2d 290 (Minn. 2014). This is concretely illustrated by the awarded family-room window (B1.2), which includes a 2014 Semco sash matching its other sashes - a matched original-manufacturer set that can no longer be matched now that Semco Windows and Doors has ceased operations.
 - (f) With respect to the windows the September 12, 2025 appraisal award evaluated, Defendant is bound by the panel's hail-causation finding and may not reassert in this action the exclusions cited in its November 4, 2024 denial as to those windows.
 - (g) The two-year suit-limitation period stated in the policy's Section I - Property Conditions governs this action, both because it is the limitation period the parties' contract expressly adopts and because Defendant has waived and is estopped from asserting any shorter period by the conduct described in paragraphs 28-29 above. Plaintiffs' homeowner's policy is written on the standard fire-policy form, which carries the two-year suit-limitation period of Minn. Stat. § 65A.01, Subd. 3. To the extent Minn. Stat. § 65A.26 or any endorsement is asserted to impose a shorter, one-year hail suit-limitation period, that period does not apply, because § 65A.26 by its terms and placement (the separate "HAIL INSURANCE" heading of chapter 65A) governs standalone hail policies rather than a multi-peril homeowner's policy taking the § 65A.01 form; and in any event Defendant has waived and is estopped from asserting it.

- (h) A prior insurance-claim payment that covered one sash of the front dining-room window does not bar coverage for hail damage sustained on July 13, 2024 by other, previously unpaid sashes of the same window. Any exclusion of that window from the September 12, 2025 award on a prior-claim basis is a coverage determination outside the appraisal panel's authority and does not bind the Court.
- (i) To the extent the appraisal panel declined to award any window or item on a coverage ground -including wear and tear, any policy exclusion, or a prior-payment or offset theory -that determination exceeded the panel's authority under Minn. Stat. § 65A.01 and *Quade v. Secura Insurance*, 814 N.W.2d 703 (Minn. 2012), is not final or binding on the parties or the Court, and the coverage question for each such window or item is decided by the Court de novo.
- (j) The September 12, 2025 appraisal award found, in its "Causation" column, that hail is the cause of loss to the "Siding & Paint" item, and that hail-causation finding binds Defendant under *Quade v. Secura Insurance*, 814 N.W.2d 703 (Minn. 2012). To the extent the panel's \$0 award on that item rested on a policy exclusion, a cosmetic- or marring-damage theory, a deductible or valuation rationale, or any other coverage ground rather than a determination of the amount of the hail-caused loss, that determination is a coverage determination outside the panel's authority, is not final or binding, and the coverage and amount of loss for the hail-damaged siding are decided by the Court de novo.

ANSWER: Paragraph 57 contains statements and conclusions of law which require no response in this Answer. FIE denies paragraph 57 to the extent that a response is required.

58. The requested declarations will substantially terminate the controversy between the parties as required by Minn. Stat. § 555.06.

ANSWER: Paragraph 58 contains statements and conclusions of law which require no response in this Answer. FIE denies paragraph 58 to the extent that a response is required.

COUNT III – NON-PRECLUSION DECLARATION REGARDING THE APPRAISAL AWARD; IN THE ALTERNATIVE, MODIFICATION OR CORRECTION; IN THE FURTHER ALTERNATIVE, REMAND FOR CLARIFICATION; IN THE FINAL ALTERNATIVE, VACATUR

59. Plaintiffs reallege and incorporate paragraphs 1 through 58 above. This Count is pleaded in the alternative under Minn. R. Civ. P. 8.05, and the Court need reach it only to the extent it treats the September 12, 2025 appraisal award as a barrier to relief under Count I.

ANSWER: Paragraph 59 contains statements and conclusions of law which require no response in this Answer. FIE denies paragraph 59 to the extent that a response is required.

60. Minn. Stat. § 65A.01, Subd. 3 requires the appraisers to "appraise the loss, stating separately actual value and loss to each item," and provides that "an award in writing, **so itemized**, of any two when filed with this company shall determine the amount of actual value and loss." The September 12, 2025 award identifies the awarded windows only by the undefined designations "F1.7" and "B1.2" against a single lump-sum \$12,800 Replacement Cost Value and \$6,400 Actual Cash Value. The award does not state actual value and loss separately to each item, and is not "so itemized" within the meaning of the statute.

ANSWER: FIE denies paragraph 60 to the extent it states that the Appraisal Award is not properly itemized. The remainder of paragraph 60 contains statements and conclusions of law which require no response in this Answer.

61. **Statutory non-itemization - the \$0 siding and debris lines.** The September 12, 2025 award lists a "Siding & Paint" line item and a "Debris" line item at \$0 Replacement Cost Value and \$0 Actual Cash Value, each marked "Hail" in the award's Causation column. An award that affirmatively finds hail to be the cause of loss for the siding, yet states the value of that hail-caused loss as \$0 -without identifying any methodology, valuation basis, or which siding observations the panel evaluated, and without separately stating the actual value and loss for the two siding items Plaintiffs submitted (repaint, and replace-and-remove), which the form consolidates into a single line - is not the substantive, itemized appraisal of value § 65A.01, Subd. 3 contemplates. The award likewise does not identify whether the panel evaluated the documented trim board chips photographed at A-90 and A-148 or the documented dented flashing at A-103, A-128, and A-129.

ANSWER: FIE denies paragraph 61 to the extent it states that the Appraisal Award is not properly itemized. The remainder of paragraph 61 contains statements and conclusions of law which require no response in this Answer.

62. **Non-itemization and improper exclusion - the front dining-room window.**

The September 12, 2025 award does not separately state the actual value and loss for the front dining-room window, a window Defendant's own appraiser documented as damaged. Defendant later explained the omission on the ground that the damage "was from the prior claim." The award does not state which of that three-sash window's sashes the panel treated as previously paid, the basis for treating any sash as previously paid, or whether the panel evaluated the July 13, 2024 damage to the sashes not within the 2020 claim. An award that silently omits a documented-damaged, multi-sash window -explained only by reference to a

prior claim that, on information and belief, paid for a single sash - is not the item-by-item appraisal § 65A.01, Subd. 3 requires.

ANSWER: FIE denies paragraph 62 to the extent it states that the Appraisal Award is not properly itemized or otherwise incomplete. The September 12, 2025 Appraisal Award is binding upon the parties and speaks for itself. The remainder of paragraph 62 contains statements and conclusions of law which require no response in this Answer.

63. **Primary requested relief- declaration of non-preclusion.** Plaintiffs request a declaration that the September 12, 2025 award, not being "so itemized" as Minn. Stat. § 65A.01, Subd. 3 requires, is not a binding determination of the full amount of Plaintiffs' loss and does not preclude Plaintiffs' breach-of-contract claim (Count I) as to any window, sash, or item the award did not separately itemize - while the award remains binding on Defendant as far as it went, including the panel's hail-causation finding for the awarded windows under *Quade v. Secura Insurance*, 814 N.W.2d 703 (Minn. 2012). Plaintiffs do not contend the award is void; they contend it is a partial determination that binds as to what it itemized and decided, and is non-preclusive as to everything it did not.

ANSWER: FIE denies paragraph 63 to the extent it states that the Appraisal Award is not a binding determination of the full amount of Plaintiffs' loss. The September 12, 2025 Appraisal Award is binding upon the parties and speaks for itself. The remainder of paragraph 63 contains statements and conclusions of law which require no response in this Answer.

64. **First alternative -modification or correction.** In the alternative, Plaintiffs request that the Court modify or correct the award to comply with Minn. Stat. § 65A.01, Subd. 3 by stating separately the actual value and loss to each item, and to conform the award to the evidence of record.

ANSWER: Paragraph 64 includes requests and statements and conclusions of law which require no response in this Answer.

65. **Reserved alternative - remand for clarification.** In the further alternative, and only if the Court concludes that the award's scope and preclusive effect cannot be determined without the appraisal panel's input, Plaintiffs request that the Court remand the award to the panel for clarification under *Herll v. Auto-Owners Insurance Co.*, 879 F.3d 293 (8th Cir. 2018), and *Cincinnati Insurance Co. v. Rymer Cos.*, No. 24-3356 (8th Cir. Mar. 27, 2026). Any remand order should require the panel to:

- a. identify each window or item within the scope of the panel's evaluation by

- location, elevation, sash count, and manufacturer stamp;
- b. state separately the actual cash value and replacement cost value attributable to each such window or item, and, for any multi-sash window, to each sash;
 - c. identify any window or item Plaintiffs submitted for appraisal that the panel did not evaluate, with a brief statement of the reason;
 - d. for each window or item the panel did evaluate but for which it awarded \$0 or which it did not include in the award, state separately, item by item: (i) that the panel physically inspected the item, and the date and manner of that inspection; (ii) the specific physical observation the panel made at the item, cross-referenced to any Prieve Engineering Photo Appendix A photograph depicting the same location; (iii) the specific basis for awarding nothing; (iv) whether that basis is a finding that the damage was not caused by hail (a causation finding) or a finding that hail-caused damage is excluded or limited by a policy provision or prior payment (a coverage finding), identifying any such provision by endorsement and section; and (v) the damage signature the panel treated as indicative of hail and the damage signature the panel treated as inconsistent with hail, identifying the methodology, published standard, or authority on which that distinction rests, including the basis for treating any scrape-marked, elongated, or accessory-groove dent as indicating a cause other than hail; and
 - e. for any sash or window excluded on the ground of a prior claim, identify the prior claim, the specific sash or sashes the panel understood to have been previously paid, and whether the panel independently evaluated the July 13, 2024 damage to any sash not previously paid.

ANSWER: Paragraph 65 includes requests and statements and conclusions of law which require no response in this Answer.

66. **Final alternative - vacatur.** Only to the extent the foregoing relief is unavailable or insufficient, Plaintiffs request that the Court vacate the award under *Mork v. Eureka-Security Fire & Marine Insurance Co.*, 230 Minn. 382, 42 N.W.2d 33 (1950), on the ground of misfeasance or wrongdoing in the conduct of the appraisal, including that the umpire produced no report, estimate, or methodology; that the award on its face fails the statute's itemization command; that Plaintiffs' appraiser was selected by a contractor rather than by Plaintiffs, and that Plaintiffs requested to communicate with the appraisal panel before the appraisal but were never afforded any opportunity to do so; and such further grounds as discovery may establish.

ANSWER: Paragraph 66 includes requests and statements and conclusions of law which require no response in this Answer.

**COUNT IV - MINNESOTA CONSUMER FRAUD ACT (Minn. Stat. § 325F.69,
enforced through Minn. Stat. § 325F.70, subd. 3 and § 8.31, Subd. 3a)**

67. Plaintiffs reallege and incorporate paragraphs 1 through 66 above.

ANSWER: Paragraph 67 includes statements and conclusions of law which require no response in this Answer. FIE incorporates its answers to paragraphs 1 through 66.

68. Defendant engaged in a course of misrepresentation, misleading statements, deceptive practices, and unfair or unconscionable practices in violation of Minn. Stat. § 325F.69, Subd. 1, in connection with the sale and renewal of homeowner's insurance Policy XXXXX-49-65 to Plaintiffs for personal, family, and household purposes.

ANSWER: Deny.

69. The prohibited conduct includes, without limitation:

- a. The September 3, 2024 written denial's representation that Defendant had assessed the home and that "no other damages [were] observed" - a representation that an adequate damage assessment had been performed and had definitively found no exterior damage - when that representation was false: the exterior hail damage was plainly observable and had been documented by Plaintiffs before the denial issued, and Defendant's own adjuster personally confirmed window dents on the home within three days of the denial, demonstrating that the assessment the September 3, 2024 denial represented it had performed was either not adequately conducted or did not support the "no other damages" conclusion Defendant represented to Plaintiffs;
- b. The November 4, 2024 written denial's adoption and transmission of the Prieve Engineering report's representation that "the most recent hail in Eden Prairie reported in 2020," objectively disprovable on public records before the denial issued and directly contradicted by Defendant's own September 12, 2025 appraisal award;
- c. The supervisor- and adjuster-level imposition in February 2025 of an "engineer's report only" evidentiary gate found nowhere in Policy 98055-49-65, used to reject Plaintiffs' supplemental evidence without review;
- d. The September 18, 2025, September 19, 2025, and October 14, 2025 mutually inconsistent written descriptions of the September 12, 2025 award's scope;
- e. The October 21, 2025 referral of Plaintiffs to their own appraiser as the source of any explanation of the gap between the awarded scope (two windows) and the photographic record of damage (most of the home's windows), accompanied by Defendant's confirmation that the umpire produced no report or estimate;
- f. The September 19, 2025 attribution of the entire front dining-room

window's damage to "the prior claim," when, on information and belief, only one of that three-sash window's sashes was within the 2020 claim payment;

- g. The scoping of the Prieve Engineering engagement to "windows only" - excluding the siding, downspout, flashing, and door components Plaintiffs had reported- followed by Defendant's use of the resulting report as the basis for denying the entire claim, without disclosing the report's stated scope limitation to Plaintiffs as a limit on what the denial could rest on; and
- h. Defendant's adoption and continued maintenance of a denial premised on "no hail after 2020" when the disproof of that premise - photographs of dented downspouts and flashing on components replaced after September 13, 2021 - appears in the captions of Defendant's own retained engineer's Photo Appendix A.

ANSWER: FIE denies paragraph 69 and alleges that the statements made in paragraphs 69(a) through (h) constitute "prohibited conduct" under Minn. Stat. 325F.69, subd. 1. FIE is without sufficient information or knowledge to form an opinion on the truth of paragraphs 69(a) through 69 (h). These paragraphs allege statements and conclusions of law which require no response in this answer. FIE denies paragraphs 69(a) through (h) to the extent a response is required.

70. Each act and the course of conduct as a whole was made with the intent that Plaintiffs and similarly situated insureds rely on it in their dealings with Defendant. The acts and course of conduct were made in connection with the sale and renewal of insurance - specifically, in connection with the most recent renewal of Policy XXXXX-49-65 effective October 22, 2023 through October 22, 2024, and in connection with Defendant's continuing collection of premium thereafter. Insurance is "merchandise" within the meaning of Minn. Stat. § 325F.68 and § 325F.69. *Force v. ITT Hartford Life & Annuity Ins. Co.*, 4 F. Supp. 2d 843, 858 (D. Minn. 1998).

ANSWER: FIE denies the first sentence of paragraph 70. The remainder of paragraph 70 allege statements and conclusions of law which require no response in this Answer.

71. **Causal nexus and damages.** Pursuant to the causal-nexus standard of *Wiegand v. Walser Automotive Groups, Inc.*, 683 N.W.2d 807, 813 (Minn. 2004), and *Group Health Plan, Inc. v. Philip Morris, Inc.*, 621 N.W.2d 2, 13-15 (Minn. 2001), Defendant's prohibited conduct caused Plaintiffs pecuniary damages, including without limitation: (a) Plaintiffs' out-of-pocket share of the appraiser retainer (\$1,100 of John Foster's \$2,200 fee) incurred in the contractual appraisal process Plaintiffs pursued because Defendant's deceptive denials and evidentiary gatekeeping foreclosed any merits review; (b) the costs of investigation

Plaintiffs incurred to develop the disproving record Defendant refused to review, including weather-data acquisition, City permit research, and the neighbor canvass; (c) consequential water-intrusion damage to the home accruing during the period of delay produced by Defendant's conduct, including the active window leaks documented on October 28, 2025; and (d) the unpaid value of the covered loss itself, to the extent found attributable to the prohibited conduct.

ANSWER: Paragraph 71 alleges statements and conclusions of law which require no response in this Answer. FIE denies the remainder of paragraph 71.

72. **Public benefit.** Plaintiffs' action concerns merchandise purchased for "personal, family, [and] household" purposes within the meaning of Minn. Stat. § 325F.70, subd. 3, and pursuant to the express terms of that subdivision, "an action brought under this section benefits the public." In the alternative, and to the extent Plaintiffs proceed under Minn. Stat. § 8.31, Subd. 3a, the action benefits the public because Defendant's conduct - including the supervisor-level "engineer's report only" rule, the "windows only" engineering-scope practice, Defendant's reliance on a forensic-engineering methodology that adopted an objectively false weather premise, and Defendant's pattern of refusing to engage with non-engineer evidence - reflects institutional claim-handling practices affecting numerous Minnesota homeowners insured by Defendant under similar policies.

ANSWER: Paragraph 72 alleges statements and conclusions of law which require no response in this Answer. FIE denies the remainder of paragraph 72 to the extent that a response is required.

73. As a direct and proximate result of Defendant's violations of Minn. Stat. § 325F.69, Plaintiffs are entitled to recover damages, costs, disbursements, costs of investigation, and reasonable attorney fees pursuant to Minn. Stat. § 325F.70, subd. 3 and, in the alternative, Minn. Stat. § 8.31, Subd. 3a.

ANSWER: Deny.

AFFIRMATIVE DEFENSES TO COMPLAINT

1. Affirmatively alleges that, pursuant to Rule 12, Minn. R. Civ. P., there exists a lack of jurisdiction over Defendant FIE and Plaintiffs have failed to state a claim upon which relief can be granted.

2. Affirmatively allege that the September 12, 2025 Appraisal Award is binding upon the parties.

3. Subject to the defenses asserted in paragraphs 1 and 2 above, FIE denies all allegations in the Complaint except those which are hereinabove admitted, qualified, or otherwise answered.

JURY DEMAND

Defendant demands a trial by jury.

WHEREFORE, Defendant FIE prays that Plaintiffs take nothing by their alleged causes of action, that the Complaint be dismissed with prejudice, and that judgment be entered in favor of Defendant, together with its costs, disbursements and such other relief as this court deems just and proper.

KENNEDY LAW FIRM P.C.

Dated: August 10, 2026

By: /s/ Mary J. Baskfield
Kevin J. Kennedy (#193872)
Mary J. Baskfield (#354172)
7616 Currell Blvd., Suite 270
Woodbury, MN 55125
Telephone: 651-256-5000
Em: kkennedy@kennedykf.com
Em: mbaskfield@kennedykf.com
Counsel for Defendant

ACKNOWLEDGMENT

Pursuant to Minn. Stat. § 549.211, Defendant acknowledges, by its attorneys herein, that sanctions may be awarded to the opposing party as outlined in this statute.

/s/ Mary J. Baskfield
Kevin J. Kennedy (#193872)
Mary J. Baskfield (#354172)